Incident report: false declines after the fraud-scorer v3.4 release

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Services: fraud-scorer, payments-api

Summary

On January 21, 2026, fraud-scorer model v3.4 was deployed at 10:15 UTC via CHG-1011. The new model began declining a significantly elevated volume of legitimate card payments. Incident commander Lucas Moreau initiated a SEV2 incident response. The model was rolled back at 11:40 UTC to v3.3, restoring normal decline rates. This postmortem documents the incident and outlines follow-up actions.

Impact

The elevated decline rate caused legitimate merchants and cardholders to experience payment failures. The fraud-scorer decline rate increased from 2.1% to 9.8% during the incident window. Affected merchants received decline notifications through the notifications service. The incident was tracked under STS-101.

Timeline

- 10:15 UTC: v3.4 deployed via CHG-1011
- 10:45 UTC: Monitoring alerts triggered for elevated decline rate
- 10:50 UTC: SEV2 incident declared
- 11:05 UTC: Root cause identified as v3.4 model behavior
- 11:40 UTC: Rolled back at 11:40 UTC to v3.3 using RB-06
- 11:50 UTC: Decline rate returned to baseline of 2.1%

Root cause

fraud-scorer model v3.4 exhibited unexpected behavior that caused legitimate payments to be scored as high-risk and declined. The specific model-level factors driving this behavior remain under investigation.

Resolution

The incident was resolved by rolling back fraud-scorer to model v3.3 following RB-06. Decline rates normalized immediately after rollback.

Follow-up actions

- Conduct detailed analysis of v3.4 model behavior before any re-release attempt
- Review CHG-1011 change process and pre-deployment validation procedures
- Implement additional monitoring and canary deployment safeguards for future model releases
- Coordinate with the Risk team to establish model performance baselines and alerting thresholds